

Does Trend Following Work on Stocks?

■ Define Trend Following

283

The primary reason for the high emotions about trend following on stocks is likely a discrepancy in definitions. Trend following as a strategy originates from the futures world and that's the kind of trend-following methodology I'm talking about. In the futures space, we have a fairly limited set of markets to trade, but they are highly varied and can offer a high degree of diversification. That assumption forms the very basis of trend following.

If you apply a standard trend-following futures model to a single sector, any sector, it's likely to show poor performance. You might perhaps pick agricultural commodities, as that's the most diverse sector and most likely to work. And, sure, you might get lucky and enter at a time when this particular sector has a good run for a year or two, but then the party is likely over. What we see in the long-term analysis is that we simply cannot predict which sector will perform and which will not in any given year.

If you pick a financial market, like rates or equities, your probability of success will be much lower still. The reason for that is not the lack of trends in the equity markets. They have trending periods and non-trending periods like any other market. It's just that it's an extremely homogeneous market. All the markets in your investment universe would move up or down or